

Coordinating Adjudication Processes

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1. Introduction

Lauder and *CME v Czech Republic* are often considered to be the bête noire of decisional incoherence in investment arbitration.¹ Ronald Lauder, the controlling shareholder of Dutch investment company CME, and CME, initiated two parallel investment treaty arbitrations against the Czech Republic for the alleged expropriation of their interest in TV Nova, a Czech television channel, under the Czech–US and the Czech–Dutch bilateral investment treaties (BITs). Two UNCITRAL tribunals, composed of three different arbitrators, rendered seemingly conflicting awards.² The arbitral tribunals and the Svea Court of Appeal dismissed various Czech objections that these two parallel investment claims by the controlling shareholder and the company were impermissible.

The tribunals issued their awards within ten days of one another. The *Lauder* Tribunal came first. It found that the Czech Republic had not breached the Czech–US BIT. By contrast, the *CME* Tribunal determined that the host state had breached the Czech–Dutch BIT, and awarded US\$250 million in compensation in relation to conduct that the *Lauder* Tribunal had found was compatible with the Czech–US BIT and in relation to the same investment. In key respects, the two awards were inconsistent.³ Mr Lauder, who owned about 30 per cent of CME, was set to be one of the beneficiaries of compensation awarded to CME.⁴

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¹ Shany, Y., *The Competing Jurisdictions of International Courts and Tribunals* (Oxford University Press, 2003), at p. 32 (attributing the dual proceedings to ‘complex structure of the investment’ and the rise of arbitration without privity).

² In *Lauder*, the arbitrators were Robert Briner (President), Lloyd Cutler (investor appointee), and Bohuslav Klein (respondent appointee); in *CME*, Wolfgang Kühn (President), Stephen Schwebel (investor appointee), and Jaroslav Hándl (Respondent appointee). See section 4.3 on appointing the same arbitrators as one coordination technique to prevent decisional fragmentation.

³ Zachary Douglas (Chapter 12 in this volume), attributing the divergent outcomes to different conceptions of property, investment-as-value in the case of *CME*, and investment-as-property in the case of *Lauder*.

⁴ McLachlan, C., et al., *International Investment Arbitration: Substantive Principles* (Oxford University Press, 2007), at para. 4.120.

Significantly, the Czech Republic opposed *de jure* or *de facto* consolidation through the appointment of the same arbitrators in the two arbitrations.⁵ *De jure* consolidation refers to combining several pending arbitration proceedings into a single proceeding before the same tribunal.⁶ *De facto* consolidation refers to the appointment of the same arbitrators for related disputes. At first sight, such inconsistency strikes a blow to the investment regime's legitimacy and undermines legal certainty for foreign investors and host states alike.

Yet, as I contend in this chapter, there is another possibility. The outcome of the *CME/Lauder* saga reflects the common position under domestic corporate laws, even though there are no indications of this in the texts of the two awards. As a general rule in domestic corporate law, the controlling shareholder is unable to successfully bring a claim for reflective loss, in addition to a direct action by the company. The effect of the *Lauder* award was to prevent double recovery by the controlling shareholder, on top of compensation obtained by the corporation. While subscribing to the outcome of the case, I encourage future tribunals to expressly recognize these important limitations of shareholder rights under the applicable domestic corporate law. The result would be that shareholder claims would rarely be admissible.

International investment tribunals, like all other international courts and tribunals, are created equal. This chapter focuses on genuine decisional fragmentation and the coordination of proceedings within the investment treaty regime, i.e. between parallel and subsequent investment arbitrations rather than cross-regime coordination of, for example, investment arbitrations and World Trade Organization (WTO) dispute settlement.⁷ Decisional fragmentation refers to divergent rulings in cases that share the same factual matrix.⁸ Numerous authors posit that inconsistent decisions are a particular risk in investment arbitration given the lack of internal (e.g. *stare decisis*) as well as external control mechanisms to ensure uniform arbitral decisions.⁹

The chapter examines what coordination tasks arise in international investment law (IIL), what the stakeholder interests related to these coordination tasks are and how overlapping jurisdictions of investment tribunals can be managed institutionally and procedurally. The distinction between jurisdiction and admissibility is an important element of successfully coordinating parallel investment arbitrations.¹⁰

⁵ McLachlan et al., *International Investment Arbitration* (note 4), at para. 4.145 (the Czech Republic's opposition to consolidation was fatal for its invocation of *lis pendens* and *res judicata* before the Svea Court of Appeal).

⁶ Platte, M., 'When Should an Arbitrator Join Cases?' (2002) 18 *Arb. Int'l* 67; Gaillard, E., 'The Consolidation of Arbitral Proceedings and Court Proceedings' in *Complex Arbitrations, Perspectives and their Procedural Implication*, ICC International Court of Arbitration Bulletin, Special Supplement (ICC Publishing, 2003), at pp. 35–42, 36.

⁷ A good example is the softwood lumber dispute between the US and Canada, see Pauwelyn, J., 'Editorial Comment: Adding Sweeteners to Softwood Lumber: the WTO-NAFTA "Spaghetti Bowl" is Cooking' (2006) 9 *J. Int'l Econ. L.* 197. With the exception of mass claims, the focus is also not on the coordination of claims, as opposed to the coordination of proceedings.

⁸ Webb, P., *International Judicial Integration and Fragmentation* (Oxford University Press, 2013).

⁹ Schill, S., *The Multilateralization of International Investment Law* (Cambridge University Press, 2009), at p. 284. On control mechanisms, see Chapter 13 in this volume.

¹⁰ Paulsson, J., 'Jurisdiction and Admissibility' in Aksen, G., et al. (eds.), *Global Reflections on International Law, Commerce and Dispute Resolution, Liber Amicorum in honour of Robert Briner* (ICC

The major advantage of declaring claims inadmissible is that it allows tribunals to fulfil their jurisdictional mandate—which many investment tribunals are keen to do—while coordinating proceedings through the lever of admissibility.¹¹ After describing the structural features of IIL, and in particular the absence of *stare decisis*, section 2 examines three coordination tasks that arise in IIL: related proceedings, mass claims, and derivative shareholder claims.

2. Coordination Tasks

With the proliferation of international courts, tribunals, and quasi-judicial bodies over the last two decades, the coordination of multiple proceedings has become a live and pressing concern, both within and across regimes.¹² The division of labour among the various international courts and tribunals is treaty-based and precarious, rather than territorial as for domestic courts.¹³ The applicable law varies across specialized international courts and tribunals. Consequently, which court decides is often critical for decision outcomes.

How wide the tribunal casts its net in terms of applicable law is an important factor for the degree of coordination in international dispute settlement—though a question that I will not explore further in this chapter. Adjudicators could limit themselves to applying rules explicitly consented to by the parties to the investment arbitration (such as the arbitration rules and the BIT); they could also refer to general principles contained in domestic law (such as *res judicata* or *lis pendens*, or the general principles of corporate law as they apply to shareholders), or defer to explicit forum selection clauses in an outside treaty.¹⁴

Unlike in domestic legal systems, overlapping jurisdictions between two or more tribunals is a substantially new issue in international law.¹⁵ As Pauwelyn and Salles explain: '[f]or a long time, and in most cases, there was simply no international court or tribunal to turn to, let alone *two* tribunals with jurisdiction over a case.'¹⁶ The novelty of jurisdictional overlaps in international law has prompted a tendency

Publishing, 2005), at pp. 601–17; Waibel, M., 'Investment Arbitration: Jurisdiction and Admissibility' in Bungenberg, M., et al. (eds.), *International Investment Law: A Handbook* (Hart/C.H. Beck, 2014 forthcoming).

¹¹ Pauwelyn, J., and L.E. Salles, 'Forum Shopping Before International Tribunals: (Real) Concerns, (Im)possible Solutions' (2009) 42 *Cornell Int'l L.J.* 77, at pp. 95–7.

¹² See Romano, C.P.R., 'A Taxonomy of International Rule of Law Institutions' (2011) 2 *J. Int'l Disp. Settlement* 241; Alter, K.J., 'The Evolving International Judiciary' (2011) 7 *Ann. Rev. L. & Soc. Sci.* 387; Kingsbury, B., 'Foreword: Is the Proliferation of International Courts and Tribunals a Systemic Problem?' (1999) 31 *N.Y.U. J. Int'l L. & Pol.* 679; Charney, J.I., 'Is International Law Threatened by Multiple International Tribunals?' (1999) 271 *Recueil des Cours* 101; Webb, P., *International Judicial Integration and Fragmentation* (Oxford University Press, 2013).

¹³ Pauwelyn and Salles 'Forum Shopping Before International Tribunals' (note 11), at p. 84.

¹⁴ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 84.

¹⁵ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 10.

¹⁶ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 79; and more generally Pauwelyn, J., *Conflict of Norms in Public International Law: How WTO Law Relates to other Rules of International Law* (Cambridge University Press, 2003).

to draw inspiration from analogies to domestic law. Yet the perennial danger is that such analogies are crude or incomplete.

This risk of decisional fragmentation is higher in investment arbitration than in some other areas of international law. First, the transient, ad hoc character of investment tribunals and rotating arbitrators, the patchwork of overlapping, yet separate BITs as compared to a single, unified treaty regime like the Genocide Convention, and the lack of *stare decisis* in the field, increase the likelihood of decisional fragmentation.¹⁷ Second, cross-border investors frequently employ complex structures with several intermediary entities;¹⁸ third, investors are able to bring claims directly against the host state, without the intervention of their home government and without the need to first exhaust domestic remedies.¹⁹ Consequently, international investment tribunals are nowadays often tribunals of *first* resort, without any prior involvement of national courts. Fourth, some investment arbitrations are highly fact-specific. Fifth, investors often have both treaty and contract claims. As a result of these five related developments, the potential for and incidence of conflict among investment arbitral awards is on the rise.

According to how one understands the proper role of arbitral tribunals in carrying out coordination tasks (are they responsible to the parties or to a larger community?), coordination outcomes might vary significantly. The character of the investor rights, especially in relation to derivative claims by shareholders, is also likely to influence outcomes. Similarly, the weight that tribunals and other participants in the investment regime attach to the need to avoid the duplication of proceedings and inconsistent decisions matters.

Tribunals conceive of their task and their allegiance in various ways. Some investment tribunals strive to achieve 'coherence'; others focus on the parties and see their mandate as limited to delivering justice to the parties; yet again others regard themselves as part of the international legal system, with their primary obligation running not only to the parties to the dispute but to the international legal system as such.²⁰ Some arbitrators may be concerned with how their awards interact with the larger investment arbitration universe, whereas others might prefer to focus on the specific dispute at hand and ignore more systemic concerns. As a matter of conjecture, arbitrators with a background in commercial law and in full-time private practice could, on average, be less likely to regard themselves as serving the international legal system compared to full-time academics specializing in public international law. It is an open question whether such differences in background affect decision outcomes.²¹

¹⁷ Webb, *International Judicial Integration and Fragmentation* (note 8), ch. 5 (the type of tribunal, the use of treaty or custom, and the reliance on existing case law are important determinants of the balance between judicial integration and fragmentation).

¹⁸ Wehland, H., *The Coordination of Multiple Proceedings in Investment Treaty Arbitration* (Oxford University Press, 2013), at para. 2.02.

¹⁹ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 30.

²⁰ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at pp. 81–2 (Table 1), and p. 84.

²¹ Susan Franck's pioneering empirical work did not uncover strong evidence that arbitrator background (e.g. development status) drives decision outcomes: e.g. 'Development and Outcomes of Investment Treaty Arbitration' (2009) 50 *Harv. Int'l L.J.* 435.

How arbitral tribunals conceive of their own function is an important determinant of whether they will exercise their jurisdiction in scenarios where two or more tribunals *prima facie* enjoy jurisdiction. We can think of two extreme positions. Some tribunals regard themselves as part of a self-contained regime and as an autonomous entity within the regime.²² Or they see themselves as part of a system of many interconnected tribunals whose duty it is to collaborate. For tribunals adopting the first perspective, coherence is an immaterial consideration. Conversely, system-conscious tribunals are more likely to regard inconsistent rulings as a threat to the legitimacy of the 'system', and may be prepared to take this factor into account in determining whether to exercise jurisdiction in particular cases.

As international investment tribunals at best constitute an informal 'system' or 'community of courts'²³ without institutional linkages that could enforce, or even simply encourage, cooperation, the particular perspective adopted by each investment tribunal takes centre stage. Their autonomous institutional set-up generally affords investment tribunals wide discretion on whether to seek to achieve 'coherence' and thus avoid decisional fragmentation. Whether tribunals consider, share, or borrow each other's jurisprudence is largely up to each tribunal.²⁴ In other words, whether an informal system of tribunals emerges hinges on the decentralized conduct of hundreds of investment arbitrators. At the other extreme, investment tribunals could also engage in judicial turf wars.²⁵ In contrast, domestic legal systems temper these centrifugal tendencies. Domestic courts are embedded in an institutionalized hierarchy, such as appeal procedures, mechanisms for authoritative interpretation, or preliminary rulings.

The first important background factor that complicates coordination in investment arbitration is that prior decisions of investment tribunals are not binding on investment tribunals established at a later date.

2.1 The lack of *stare decisis* in investment arbitration

Investment tribunals are free to depart from the established jurisprudence of the International Court of Justice (ICJ),²⁶ and similarly from the awards of prior investment tribunals. The implication is that the first important coordination technique is missing from the arsenal of international courts and tribunals in general, and investment tribunals in particular. *Jurisprudence constante*, given the

²² *Prosecutor v Tadic*, Case No. IT-94-1-I, Decision on Defence Motion for Interlocutory Appeal on Jurisdiction, 2 October 2011, 105 I.L.R. 419, 458, at para. 11. ('In international law, every tribunal is a self-contained system (unless otherwise provided).')

²³ Slaughter, A.-M., 'A Global Community of Courts' (2003) 44 *Harv. Int'l L.J.* 191.

²⁴ Brown, C., *A Common Law of International Adjudication* (Oxford University Press, 2007) identifies such a community of courts when it comes to procedure, such as provisional measures or questions of evidence.

²⁵ Higgins, R., 'A Babel of Judicial Voices? Ruminations from the Bench' (2006) 55 *Int'l Comp. L.Q.* 791.

²⁶ As the ICJ has only decided investment-related cases in respect of which the home state has exercised diplomatic protection, there is very little, if anything, for investment tribunals to depart from.

discretion it affords to tribunals, is an imperfect substitute, and adds little value from the perspective of coordinating proceedings or claims.²⁷

The lack of precedent is a structural feature of the international legal system that hinders coordination.²⁸ Investor-state arbitration is no exception. Article 53(1) of the ICSID Convention states: 'The award shall be binding on the parties...'.²⁹ This provision 'exclude[s] the applicability of the principle of binding precedent to successive ICSID cases'.³⁰ In addition, nothing in the Convention's *travaux préparatoires* indicates that investment tribunals should apply the doctrine of *stare decisis*.³¹

Numerous ICSID arbitral tribunals have stated that they do not consider themselves bound by previous ICSID awards. For example, the *El Paso v Argentina* Tribunal declared that it knew of 'no provision... establishing an obligation of *stare decisis*'.³² Occasionally, tribunals such as the one in *Saipem v Bangladesh*³³ find a duty to follow solutions adopted in a series of consistent cases and a corresponding duty to contribute to the harmonious development of investment law (*jurisprudence constante*).³⁴ Citations to prior investment treaty awards are also common.³⁵ Notwithstanding, investment tribunals live in a different world from WTO panels, which operate under *stare decisis* and a strong form of centralized appellate review

²⁷ Romano, C.P.R., 'Deciphering the Grammar of International Jurisprudential Dialogue' (2009) 41 *N.Y.U. J. Int'l L. & Pol.* 755, at p. 760; *Saipem SpA v People's Republic of Bangladesh*, Award, ICSID Case No. ARB/05/7, 30 June 2009, at para. 90 ('The Tribunal considers that it is not bound by previous decisions... subject to compelling contrary grounds, it has a duty to adopt solutions established in a series of consistent cases'); cf. also *US–Stainless Steel from Mexico*, WT/DS344/AB/R, at para. 160 ('Ensuring "security and predictability" in the dispute settlement system, as contemplated in Article 3.2 of the DSU, implies that, absent cogent reasons, an adjudicatory body will resolve the same legal question in the same way in a subsequent case').

²⁸ Shahabuddeen, M., *Precedent in the World Court* (Cambridge University Press, 1996), p. 97.

²⁹ Convention on the Settlement of Investment Disputes between States and Nationals of Other States (opened for signature 18 March 1965, entered into force 14 October 1966) 575 U.N.T.S. 159 ('ICSID Convention').

³⁰ Schreuer, C., *The ICSID Convention: A Commentary* (Cambridge University Press, 2001), p. 1190.

³¹ Schreuer, *The ICSID Convention* (note 30), at p. 1190.

³² *El Paso Energy International Co. v Argentine Republic*, Decision on Jurisdiction, ICSID Case No. ARB/03/15, 27 April 2006, at para. 39; *AES Corp. v Argentine Republic*, Decision on Jurisdiction, ICSID Case No. ARB/02/17, 26 April 2005, at paras. 17–33; *Suez, Sociedad General de Aguas de Barcelona SA v Argentine Republic*, Decision on Jurisdiction, ICSID Case No. ARB/03/17, 16 June 2006, at para. 26; *ADC Affiliate Ltd and ADC & ADMC Management Ltd v Republic of Hungary*, Award, ICSID Case No. ARB/03/16, 2 October 2006, at para. 293; *SGS v Philippines*, Decision of the Tribunal on Objections to Jurisdiction, ICSID Case No. ARB/02/6, 29 January 2004, at para. 97.

³³ *Saipem SpA v People's Republic of Bangladesh*, Decision on Jurisdiction, ICSID Case No. ARB/05/7, 21 March 2007, at para. 67. On divergent views of arbitrators, see *Burlington Resources, Inc. v Republic of Ecuador*, Decision on Liability, ICSID Case No. ARB/08/5, 14 December 2012, at para. 187.

³⁴ Kaufmann-Kohler, G., 'Arbitral Precedent: Dream, Necessity or Excuse?' (2007) 23 *Arb. Int'l* 357, at p. 360; Sureda, R., 'Precedent in Investment Treaty Arbitration' in Binder, C., et al. (eds.), *International Investment Law for the 21st Century: Essays in Honour of Christoph Schreuer* (Oxford University Press, 2009); Schreuer, C., and M. Weiniger, 'A Doctrine of Precedent?' in Schreuer, C., P. Muchlinski and F. Ortino (eds.), *The Oxford Handbook of International Investment Law* (Oxford University Press, 2008).

³⁵ Commission, J.P., 'Precedent in Investment Treaty Arbitration: A Citation Analysis of a Developing Jurisprudence' (2007) 24 *J. Int'l Arb.* 129, at pp. 142, 149; Fauchald, O.K., 'The Legal Reasoning of ICSID Tribunals: An Empirical Analysis' (2008) 19 *Eur. J. Int'l L.* 301, at p. 335.

by the WTO Appellate Body.³⁶ Each investment tribunal has the *option* of departing from a previous award that raises similar legal questions or arose from the same factual matrix, without a higher court overturning the potentially inconsistent award on appeal.

The following sections examine three distinct coordination tasks that arise in investment arbitration: related investment proceedings that raise similar legal questions (section 2.2), class actions and mass claims (section 2.3), and (c) derivative claims by shareholders (section 2.4). Other coordination tasks, such as coordinating investor-state and state-state investment arbitrations are beyond the scope of this chapter. The latter category typically involves two types of arbitration with different disputing parties and different mandates. The state-to-state arbitration concerns the interpretation and application of the treaty, whereas investor-state disputes concern the adjudication of investment disputes. They can overlap in substantial ways, which potentially raises the need for coordination.³⁷

2.2 Coordination of ‘related’ investment proceedings

In cases such as *SGS v Pakistan* and *SGS v Philippines*, the two separate proceedings do not arise out of the same factual matrix. Yet both cases raised similar legal questions and the claimant was the same Swiss company. The two tribunals, composed of three different arbitrators, interpreted identically worded dispute settlement provisions in the Pakistan–Switzerland BIT³⁸ and the Philippines–Switzerland BIT differently.³⁹ The *SGS v Pakistan* Tribunal found that its jurisdiction was limited to treaty claims only, whereas the *SGS v Philippines* Tribunal interpreted the umbrella clause in the BIT to vest jurisdiction in it for both treaty and contractual claims. Yet the *SGS v Philippines* Tribunal only exercised incidental jurisdiction to stay the proceedings in favour of the contractually chosen forum. It considered that it was barred from exercising its jurisdiction over contractual claims for the time being because the forum selection clause referred contractual disputes to the domestic courts of the Philippines. SGS’s claim was therefore inadmissible. The *SGS v Philippines* Tribunal coordinated the treaty and contract claims by exercising judicial comity and admissibility rules.⁴⁰

The need for coordination in cases such as *SGS v Pakistan* and *SGS v Philippines* is less obvious than in *CME/Lauder v Czech Republic*. It may seem troubling that

³⁶ Teitel, R., and R. Howse, ‘Cross-Judging: Tribunalization in a Fragmented but Interconnected Global Order’ (2009) 41 *N.Y.U. J. Int’l L. & Pol.* 959, at p. 985 (citing AB Report, *United States—Final Anti-Dumping Duties on Stainless Steel from Mexico*, at paras. 158–62, WT/DS344/AB/R, 30 April 2008).

³⁷ Roberts, A., ‘State-to-State Investment Treaty Arbitration: A Hybrid Theory of Interdependent Rights and Shared Interpretive Authority’ (2014) 54 *Harv. Int’l L.J.* forthcoming.

³⁸ Agreement between the Swiss Confederation and the Islamic Republic of Pakistan on the Promotion and the Reciprocal Protection of Investments, signed 11 July 1995.

³⁹ Agreement between the Swiss Confederation and the Republic of the Philippines on the Promotion and the Reciprocal Protection of Investments, signed 31 March 1997.

⁴⁰ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 82, n. 249, *SGS v Philippines* (note 32), at paras. 156–64.

two tribunals decide cases that raise similar issues differently, especially from the investor's perspective and in terms of legal certainty. One driver of such decisional fragmentation is diverse interpretive approaches by tribunals.⁴¹

Another example of contradictory awards is how investment tribunals have applied necessity as a circumstance precluding wrongfulness under Article 25 of the Articles on State Responsibility to the 2001 Argentinean financial crisis.⁴² These cases shared the same factual matrix. A first set of decisions held that the Argentinean crisis amounted to a state of necessity, and thereby precluded the wrongfulness of Argentina's measures that affected investments.⁴³ A second set of arbitral tribunals held that Argentina's circumstances did not meet the threshold required for the application of necessity.⁴⁴

2.3 Class actions and mass claims

Class arbitration is conceptually different from mass arbitration. Both are powerful coordination mechanisms, but it is doubtful whether host states consented to arbitrate such claims. Moreover, investment tribunals may be unable, in procedural terms, to adjudicate class arbitrations or mass claims efficiently, all while safeguarding the due process rights of claimants and host states.

Mass claims arise 'when a large number of parties suffer losses caused by the same historic event or diplomatic crisis'.⁴⁵ The *Abaclat* Tribunal adjudicated a case involving 60,000 holders of securities entitlements in Argentine bonds. According to dissenting arbitrator Abi-Saab, the majority in *Abaclat* fashioned a mandatory system of coordination out of thin air, while riding roughshod over Argentina's consent which did not include mass claims.⁴⁶ It is doubtful whether the arbitral tribunal's implied powers went so far. By contrast, class actions are representative proceedings in which a class representative acts on behalf of absent class members. They involve issues such as the determination of the class, notice to other class

⁴¹ Waibel, M., 'International Investment Law and Treaty Interpretation' in Hofmann, R., and C. J. Tams (eds.), *International Investment Law and General International Law: From Clinical Isolation to Systemic Integration?* (Nomos, 2011), at pp. 29–52.

⁴² International Law Commission, Articles on Responsibility of States for Internationally Wrongful Acts, 2001, Art. 25.

⁴³ *LG&E Energy Corp. v Argentine Republic*, Decision on Liability, ICSID Case No. ARB/02/1, 3 October 2006, at para. 226; *Continental Casualty Co. v Argentine Republic*, Award, ICSID Case No. ARB/03/9, 5 September 2008.

⁴⁴ *CMS Gas Transmission Co. v Republic of Argentina*, Award, ICSID Case No. ARB/01/8, 12 May 2005, at paras. 322–55; *Enron Corp. Ponderosa Asset, LP v Argentine Republic*, Award, ICSID Case No. ARB/01/3, 22 May 2007, at para. 337; *Sempra Energy International v Argentine Republic*, Award, ICSID Case No. ARB/02/16, 28 September 2007; *BG Group plc v Argentina*, Final Award, UNCITRAL, 24 December 2007, at para. 381; and *National Grid plc v Argentine Republic*, 3 November 2007, at para. 262.

⁴⁵ Holtzmann, H.M., 'Mass Claims Processes' (2002) 13 *Am. Rev. Int'l Arb.* 69, at p. 70; Rosenfeld, F., 'Mass Claims in International Law' (2013) 4 *J. Int'l Disp. Settlement* 159; Strong, S., *Class, Mass, and Collective Arbitration in National and International Law* (Oxford University Press, 2013).

⁴⁶ *Abaclat et al. v Argentine Republic*, Dissenting Opinion, Georges Abi-Saab, ICSID Case No. ARB/07/5, 28 October 2011.

members, opt-in and opt-out, effect on absent members, and duties of the class representative. By contrast, in mass claims, no absent parties are bound by the award.⁴⁷

A central question is whether the consent to arbitrate covers mass claims. The *Abaclat* Tribunal left open the question of what numerical threshold was needed for a claim to become a 'mass' claim.⁴⁸ Crucially, it rejected Argentina's jurisdictional objection that the 'mass' aspect of the claims was of such importance that the host state's specific consent to such a procedure was required.⁴⁹

Whereas both class and mass arbitrations are powerful tools to coordinate claims, one key concern is that individualized, adversarial proceedings may be impossible with respect to mass claims or class actions, which could imperil the host state's or the investor's due process rights. The majority in *Abaclat* explained that the Tribunal would implement a 'simplified verification of evidentiary material' which would be justified, given the homogeneity of the claims. The alternative of thousands of individual claims against Argentina, the Tribunal explained, posed 'a much bigger challenge to Argentina's effective defence rights than a mere limitation of its right to individual treatment of homogeneous claims in the present proceedings'.⁵⁰ Yet the Tribunal conveniently overlooked that this was a hypothetical alternative. Given the high costs of ICSID arbitration, only the largest holders of Argentine debt could have afforded to bring individual arbitrations against Argentina.

A second and related concern about mass claims is whether arbitration is suitable and sufficiently flexible. Arguably, mass claims are best dealt with through dedicated dispute resolution methods established, such as the United Nations Compensation Commission that examined more than 2 million claims arising out of the Iraqi invasion and occupation of Kuwait.

Similar coordination difficulties arise in relation to sovereign debt. Most states have hundreds of thousands of creditors at any given point in time. There is no bankruptcy regime to safeguard the assets of the state for the satisfaction of creditors. Compensation obtained from an insolvent host state should be shared rateably among all of the state's creditors, not just those who initiate or obtain investment awards. The coordination of claims in the sense of preventing preferential recovery is one of the core aims of domestic bankruptcy law for individuals and corporations—and this important coordination mechanism for a large number of creditor claims does not presently exist in international law.

Roberts raises the possibility of state-state arbitration in relation to mass claims to safeguard the collective interests of investors involved. This may be a particularly

⁴⁷ *Stolt-Nielsen v Animal Feeds*, 559 U.S. 662, 684 (2010) (in class-action arbitration '[t]he arbitrator's award no longer purports to bind just the parties to a single arbitration agreement, but adjudicates the rights of absent parties as well'); *AT & T Mobility v Concepcion*, 563 U.S. ____ (2011) ('This is obvious as a structural matter: Classwide arbitration includes absent parties, necessitating additional and different procedures and involving higher stakes').

⁴⁸ *Abaclat*, Decision on Jurisdiction and Admissibility, ICSID Case No. ARB/07/5, 4 August 2011, at para. 490(1).

⁴⁹ *Abaclat*, Decision (note 48), at para. 484.

⁵⁰ *Abaclat*, Decision (note 48), at para. 545; see also *Abaclat*, Dissent (note 46), at para. 236.

attractive mechanism when separate arbitrations by many investors might run the risk of the host state paying the first few claims, but not being able to do so for others.⁵¹ For sovereign debt, the right to initiate arbitration could be limited to a qualifying percentage of creditors (e.g. 25 per cent), or to the trustee of the bond. The recognition of both techniques in investment arbitration would go a long way towards avoiding the most serious coordination problems in investment arbitration and considerably reduce the risk of holdout litigation by individual creditors.⁵²

2.4 Derivative shareholders claims/claims for reflective loss

The most important coordination tasks in IIL to date concern parallel proceedings by corporations and their shareholders.⁵³ Building on the discussion of *CME-Lauder v Czech Republic* in the introduction, this section compares and contrasts the situation in IIL with the position under corporate law. The focus is on the inconsistencies in corporate law and IIL that have implications for the coordination of claims by companies and their shareholders. In line with the applicable domestic corporate law, I suggest that investment tribunals should in most cases deem derivative claims by shareholders, and direct claims by controlling or minority shareholders to be inadmissible.

Derivative claims by shareholders for harm done to the company, and (direct) shareholder claims for reflective loss have the potential to give rise to multiple claims in IIL. Shareholders may suffer direct or indirect loss from the host state's conduct. For example, the host state's actions affecting voting rights cause shareholders direct loss. Host state conduct that breaches the BIT may lead to a decline in the share price.

A) Derivative claims and reflective loss in corporate law

The company's loss is distinct from the shareholders' loss under corporate law. One rationale is to shield the defendant from multiple lawsuits and to prevent shareholders and the company from having several bites at the cherry and recovering twice. Moreover, in order to protect the company's creditors, the shareholders are subordinated to creditors, in line with the priority ranking of claims in corporate bankruptcy law.

Reflective loss is only relevant when shareholders have their own claims as distinct from the company's claim. Shareholders need to show injury to their direct rights. Examples of reflective losses include declines in the value of shares or a

⁵¹ Roberts, 'State-to-State Investment Treaty Arbitration' (note 37), at p. 33.

⁵² On collective action clauses, see Buchheit, L.C., and M. Gulati, 'Sovereign Bonds and the Collective Will' (2002) 51 *Emory L.J.* 1317; Waibel, M., 'Opening Pandora's Box' (2007) 101 *Am. J. Int'l L.* 711, at p. 746 (arguing that the valid exercise of collective action clauses precludes treaty claims, not just contract claims).

⁵³ The distinction familiar to company lawyers between 'derivative claims' and 'reflective loss' has thus far been largely overlooked in investment arbitration, but see Douglas, Z., *The International Law of Investment Claims* (Cambridge University Press, 2009), ch. 11.

reduced dividend payment, and more generally any payment by the company that is not made or is reduced on account of the impugned measure affecting the company.⁵⁴ The no reflective loss principle in corporate law supports the coordination of claims. It also preserves equality among the shareholders. It encapsulates the policy that shareholders 'should not recover at the expense of creditors or other shareholders and the absolute disallowance of shareholder reflective loss claims . . . is an efficient way of achieving that result'.⁵⁵

In corporate law, the distinction between the corporate entity and its shareholders is taken seriously. The veil of incorporation is rarely pierced.⁵⁶ The company law rule on derivative claims opens up the possibility, in principle, for the shareholder to bring an action on behalf of the company in scenarios where the company itself is unable or unwilling to bring a claim itself. Shareholders bring a 'derivative claim' on behalf of their company. If the derivative claim succeeds, any compensation awarded goes to the company because the litigating shareholder is the company's agent.

In England, shareholders can only bring derivative claims on the company's behalf with judicial permission. Similar procedural requirements to bring derivative actions apply in other jurisdictions.⁵⁷ Incentives for shareholders to bring derivative claims are limited as they do not receive any compensation (they benefit at best indirectly from the successful claim in the form of higher dividend payments). It is thus rare for both the company and one or several shareholders to bring parallel or subsequent claim(s). Consequently, the risk of multiple claims for the same loss/dual recovery is limited in corporate law, which accounts for the relative paucity of derivative claims in England and continental Europe.⁵⁸ Even though derivative claims by shareholders are a more prominent feature of shareholder litigation in the United States, the important requirement that compensation be paid to the company rather than the litigating shareholders largely addresses the collective action problem.

In English law, direct, and even more so indirect shareholders, can bring a derivative claim on behalf of their company only in very limited circumstances.⁵⁹

⁵⁴ *Johnson v Gore Wood & Co. (a firm)* [2002] 2 A.C. 1 (loss 'merely a reflection of the loss suffered by the company').

⁵⁵ Ferran, E., 'Litigation by Shareholders and Reflective Loss' (2001) 60 *Camb. L.J.* 231.

⁵⁶ *Foss v Harbottle* (1843) 2 Hare 461; *Salomon v A. Salomon & Co. Ltd* [1897] A.C. 22 (veil of incorporation respected even for wholly owned companies); *Prest v Petrodel Resources* [2013] UKSC 34; Companies Act 2006, ss. 261–4 and Part 7 CPR, see further Joffe, V., et al., *Minority Shareholders: Law, Practice, and Procedure* (4th edn, Oxford University Press, 2011), at paras. 3.32–3.89.

⁵⁷ Federal Rules of Civil Procedure, 23.1(b)(3) (US); Companies Act, Cap. 60, Rev. Ed. 2006, s. 216A(2)–(3) (Singapore).

⁵⁸ Van Aaken, A., 'Shareholder Suits as Technique of Internalization and Control of Management' (2004) 68 *Rabels Zeitschrift* 288, at p. 289 (referring to the public goods character of derivative suits); Romano, R., 'The Shareholder Suit: Litigation without Foundation' (1991) 7 *J. L. Econ. & Organization* 55 (shareholder's pro rata benefit is smaller than the aggregate gain); Gelter, M., 'Why Do Shareholders Derivative Suits Remain Rare in Continental Europe?' (2012) 37 *Brook. J. Int'l L.* 843 (exploring the reasons for the paucity of derivative litigation, including the loser pays principle and alternative corporate governance instruments).

⁵⁹ Companies Act 2006, s. 260 for statutory derivative claims under English law.

There are two preconditions for the shareholder to be able to bring a derivative claim: (1) the shareholder must have an independent claim, and (2) the harm to the shareholder must be independent from the harm to the company (no reflective loss). In the United States, the derivative suit was originally a combination of two lawsuits: 'The plaintiff (1) brought a suit in equity against the corporation seeking an order compelling it (2) to bring a suit for damages or other relief against some third person.'⁶⁰

The reflective loss principle in English law, as distinct from derivative claims, entails further limitations on the ability of shareholders to bring claims for injuries to their own rights. Most legal systems bar shareholder actions if their loss is merely reflective of the shareholder loss. In such cases, only the company is allowed to recover, which is seen as both more efficient and fairer to the interested parties. A 'no reflective loss policy' avoids multiple claims, double recovery, and inconsistent results. Further, it also helps maintain the priority ranking of claims against the company. If shareholder claims for reflective losses were allowed, they could bypass preferential claims to the company's creditors.⁶¹ The next section shows that the majority of investment tribunals are much more open to derivative shareholder claims and claims for reflective loss than domestic courts.

B) Derivative claims and reflective loss in international investment law

In IIL most BITs include 'shares' in their investment definitions. By and large, investment tribunals start and end their analysis of shareholder claims by referring to the express inclusion of 'shares' in the investment definition in investment agreements.⁶² They never raise questions about derivative claims and reflective loss.

According to most investment tribunals that have considered the issue to date, shareholders can claim directly for harm suffered by the company (derivative claims) and, in addition, they can also bring claims for reflective losses.⁶³ Under

⁶⁰ Clark, R.C., *Corporate Law* (Little Brown, 1987), at p. 639.

⁶¹ *Johnson v Gore Wood & Co.* [2000] UKHL 65; [2002] 2 A.C. 1 (Lord Millet: 'protection of the interests of the company's creditors requires that it is the company which is allowed to recover to the exclusion of the shareholder'); *Holmes v Securities Investor Protection Corp.* 503 U.S. 258, 274 (1992) ('a suit by an indirectly injured victim could be an attempt to circumvent the relative priority its claim would have in the directly injured victim's liquidation proceedings').

⁶² Valasek, M.J., and P. Dumberry, 'Developments in the Legal Standing of Shareholders and Holding Corporations in Investor-State Disputes' (2011) 26 *ICSID Rev.* 34.

⁶³ Valasek and Dumberry, 'Legal Standing of Shareholders' (note 62), at p. 73; *Compañía de Aguas del Aconquija, SA v Argentine Republic*, Decision on Annulment, ICSID Case No. ARB/97/13, 3 July 2002, at para. 50; *Lanco International v Argentine Republic*, Preliminary Decision (Jurisdiction), ICSID Case No. ARB/97/6, 8 December 1998, at para. 10; *Sempra Energy International v Argentine Republic*, Decision on Objections to Jurisdiction, ICSID Case No. ARB/02/16, 11 May 2005, at paras. 90–4; *Gas Natural SDG, SA v Argentine Republic*, Decision on Preliminary Questions on Jurisdiction, ICSID Case No. ARB/03/10, 17 June 2005, at paras. 32–5; *Lauder v Czech Republic*, Final Award, UNCITRAL Arbitration, 3 September 2001 (2006) 9 *ICSID Rep.* 62, at para. 159; *Camuzzi*, Decision on Objections to Jurisdiction, ICSID Case No. ARB/03/2, 11 May 2005, at paras. 86–91; *CMS v Argentina*, Decision on Objections to Jurisdiction, ICSID Case No. ARB/01/8, 12 May 2005, at paras. 83–6; *Siemens*, Decision on Jurisdiction, ICSID Case No. ARB/02/8, 3 August 2004, at paras.

Table 16.1 Examples of company/shareholder claims

<i>CMS v Argentina</i>	29.4 per cent shareholding of Argentine corporation
<i>Enron v Argentina</i>	Investment through intermediary with the same nationality as the host state
<i>Gami v Mexico</i>	14.8 per cent shareholding
<i>Gas Natural v Argentina</i>	70 per cent shareholding
<i>Lanco v Argentina</i>	18.3 per cent shareholding
<i>Saluka v Czech Republic</i>	Intermediary company itself can initiate arbitration
<i>Siemens v Argentina</i>	Investment through intermediary with the same nationality as the investor
<i>TSA Spectrum v Argentina</i>	No jurisdiction because investor standing behind TSA was a national of the host state
<i>UPS v Canada</i>	Parent company can also claim
<i>Waste Management v Mexico</i>	Investment through intermediary company with the nationality of a third state

general international law and under the *lex specialis* of BITs, it is sufficient for shareholders to have suffered a direct injury to their rights. There is no separate inquiry as to whether the direct loss suffered by the shareholder/investor is reflective of the company's loss.⁶⁴ Moreover, even shareholders who are several corporate layers removed from the investment in the host country can often initiate arbitrations.⁶⁵ Table 16.1 provides some examples of company/shareholder claims in IIL.

When shareholder derivative claims and actions for reflective loss are admissible without limitation in international law, a serious risk of parallel proceedings ensues. In IIL, any compensation awarded is paid to whoever brings the successful claim. The incentives for shareholders to bring derivative claims are much greater than in domestic corporate law. I argue that the limitations on derivative claims and reflective loss have thus far been improperly overlooked in IIL. They apply in IIL as part of the applicable law (typically some domestic corporate law). Table 16.2 summarizes the position as regards derivative claims and reflective loss under corporate law, IIL, and the North American Free Trade Agreement (NAFTA).

C) Shareholder rights as creatures of domestic corporate law

Traditionally, international law has respected the fundamental distinction between injuries to the company and injuries to shareholders. In the context of diplomatic

111–71; *Goetz v Republic of Burundi*, Award Recognizing Settlement, ICSID Case No. ARB/95/3, 10 February 1999, at para. 46.22.4.

⁶⁴ The special case of the NAFTA is examined in section 2.4(D).

⁶⁵ Joffe, *Minority Shareholders* (note 56), at paras. 3.153–3.154 ('double' or 'triple derivative claims' in English law which the Companies Act 2006, s. 262(1) rules out).

Table 16.2 Derivative claims and claims for reflective loss under corporate law and IIL

	Domestic Corporate Law	International Investment Law	NAFTA
Compensation paid to	Company	Shareholder	Company
Procedural requirements	Burdensome, rarely granted	None	Waiver of company claim; consolidation encouraged.
Reflective loss principle	No reflective losses	No further limitations	Reversed. Company barred
Risk of multiple claims	Low	Considerable	Low

protection, the ICJ in *Barcelona Traction*, and more recently in *Diallo*, recognized this distinction between governmental measures affecting the shareholder's rights 'as such' and indirect losses caused to shareholders due to governmental measures directed at the company.⁶⁶ *Barcelona Traction's* non-exhaustive list of the 'direct rights of the shareholder as such'⁶⁷ includes the right to receive dividends, voting rights, and the right to share in the residual assets of the company on liquidation. As Higgins explains, 'the assumption underlying the general rule that shareholders have no right of action in respect of corporate matters is that the corporation will act on their behalf'.⁶⁸ Some commentators regard *Barcelona Traction* as overly rigid.⁶⁹

In *Barcelona Traction*, the ICJ affirmed that the nationality of the corporation followed its place of incorporation, even if 88 per cent of the Barcelona Traction Company's shareholders were Belgian.⁷⁰ The ICJ, on the basis of principles of comparative company law, concluded that the piercing of the corporate veil was limited to exceptional circumstances, such as misuse of the corporate form, malfeasance, fraud, or evasion of legal obligations.

BITs are *leges speciales* that derogate from customary international law. They typically provide more extensive protections to shareholders than customary international law. At first sight, states have indeed granted shareholders the ability to bring derivative claims in relation to injuries suffered by the company under BITs and claims for reflective loss. Arguments that investment tribunals need to pay heed

⁶⁶ *Case Concerning the Barcelona Traction, Light and Power Co., Ltd (Belgium v Spain)*, Second Phase [1970] ICJ Rep. 3, at para. 47; *Case Concerning Ahmadou Sadio Diallo (Republic of Guinea v Democratic Republic of the Congo)*, Judgment on Preliminary Objections (24 May 2007), at para. 67; *Case Concerning Ahmadou Sadio Diallo (Republic of Guinea v Democratic Republic of the Congo)*, Judgment (30 November 2010); Juratowitch, B., 'Diplomatic Protection of Shareholders' (2011) 81 *Brit. Yb. Int'l L.* 281, at p. 292.

⁶⁷ *Barcelona Traction* (note 66), at para. 47.

⁶⁸ Higgins, R., 'Aspects of the Case Concerning the Barcelona Traction, Light and Power Company, Ltd' (1971) 11 *Va J. Int'l L.* 327, at p. 334.

⁶⁹ Lillich, R.B., 'Two Perspectives on the Barcelona Traction Case' (1971) 65 *Am. J. Int'l L.* 522; Juratowitch, 'Diplomatic Protection of Shareholders' (note 66), at p. 300 (also in respect of *Diallo*).

⁷⁰ Tams, C., *Enforcing Obligations erga omnes in International Law* (Cambridge University Press, 2005), at p. 1; Juratowitch, 'Diplomatic Protection of Shareholders' (note 66), at p. 286.

to the customary international law in relation to shareholders, developed in the context of diplomatic protection, are bound to fail.

Yet shareholder rights in international law do not exist in splendid isolation from domestic law. They are creatures of some domestic law, and subject to its limitations, including with respect to derivative claims and reflective loss. Investment tribunals cannot treat the law that creates shareholder rights as a mere fact but need to apply the applicable domestic corporate law alongside international law, or alternatively, the general principle that shareholders cannot, as a rule, bring derivative claims or recovery for reflective loss.

In *Diallo* (Merits), the Court effected a *renvoi* to the Congolese Decree of 1887 on commercial corporations to define the content of shareholder rights. Juratowitch criticizes this *renvoi* to law on the grounds that the ICJ applied a rule derived from domestic law, without also importing the exceptions that come with that rule under domestic law into customary international law. He posits that the policy choice ‘ordinarily to disallow shareholders from taking action to assert the rights of the company is perfectly coherent [in domestic corporate law]. Different considerations apply in international law [in respect of the diplomatic protection of shareholders].’⁷¹ Yet his criticism is limited to the specific context of diplomatic protection. It does not extend to investment arbitration where investors have direct standing. In particular, in IIL, the state of nationality does not act as a gatekeeper to filter out vexatious claims.⁷²

Whereas customary international law as reflected in *Barcelona Traction* and *Diallo* may underprotect shareholders and leave them without remedy, IIL, as interpreted by many investment tribunals, overprotects shareholders. Both suffer from the defect that the domestic law analogies are incomplete and blunt.⁷³ In the case of investment arbitration, the overlooked exceptions are the rules that ordinarily no derivative claims and no claims for reflective loss are admissible.

Notwithstanding, international law cannot completely defer to the applicable corporate law. In particular, ‘where the company is incorporated in the wrongdoing State . . . there may be a case for the invocation of general principles of company law in order to ensure that the rights of foreign shareholders are not subjected to discriminatory treatment.’⁷⁴ Yet as a rule, the limitations on derivative claims by shareholders and the no reflective loss rule are long-standing features of many corporate laws and do not fall into this exceptional category.⁷⁵

According to the text of most BITs, shareholders, including indirect shareholders, can initiate investment arbitrations if they so choose. But as a general rule, the decision whether to pursue international arbitration is the company’s, not

⁷¹ Juratowitch, ‘Diplomatic Protection of Shareholders’ (note 66), at p. 310.

⁷² Juratowitch, ‘Diplomatic Protection of Shareholders’ (note 66), at p. 208.

⁷³ Juratowitch, ‘Diplomatic Protection of Shareholders’ (note 66), at p. 323.

⁷⁴ International Law Commission, Draft Articles on Diplomatic Protection with commentaries (2006), at p. 67.

⁷⁵ Juratowitch, ‘Diplomatic Protection of Shareholders’ (note 66), at p. 312 (criticizing the determination of rights of shareholders under customary international law by reference to domestic law).

the shareholders'.⁷⁶ Derivative claims by shareholders and claims for reflective loss, in line with the applicable corporate law, are inadmissible in most cases. The NAFTA offers a good illustration of how domestic corporate law can help to coordinate multiple proceedings initiated by the company and its shareholders. Even though these limitations are hard-wired into the text of NAFTA, tribunals operating under BITs without any limitations on shareholder claims are still bound to apply the applicable domestic corporate law.

D) The special case of shareholder rights under the NAFTA

The NAFTA, unlike most investment agreements, has an established mechanism for coordinating claims by shareholders and companies. The NAFTA tracks the company law meaning of 'derivative claims' and 'reflective loss' more closely than most other investment agreements.⁷⁷ NAFTA Articles 1116 and 1117 expressly use the formulation 'on behalf of an enterprise' and 'on [the shareholder's] own behalf'. These two provisions in the NAFTA provide a direct textual basis to draw on comparative company law understandings of 'derivative claims' and reflective loss, more so than in general IIL. The NAFTA's special attention to derivatives claims may be due to the more prominent role of derivatives claims in the domestic laws of two of the three NAFTA parties (Canada and the United States).

As the *Mondev* tribunals explained, the NAFTA 'distinguishes between claims by investors on their own behalf (Article 1116) and claims by investors on behalf of an enterprise (Article 1117). Under Article 1116 the foreign investor can bring an action in its own name for the benefit of a local enterprise which it owns and controls; by contrast, in a case covered by Article 1117, the enterprise is expressly prohibited from bringing a claim on its own behalf (Article 1117(4)). Faced with this detailed scheme, there does not seem to be any room for the application of any rules of international law dealing with the piercing of the corporate veil or with derivative actions by foreign shareholders. The only question for NAFTA purposes is whether the claimant can bring its interest within the scope of the relevant provisions and definitions.'⁷⁸

NAFTA tribunals are divided on whether the NAFTA bars claims for reflective losses under Article 1116.⁷⁹ The United States and Mexico contend that Article 1116 bars such claims.⁸⁰

⁷⁶ Johnson, M., 'Pressure on Repsol for Peace Deal', *Financial Times*, 24 June 2013 (recounting pressure exerted by two of Repsol's largest shareholders on Repsol's board to settle the investment arbitration with Argentina).

⁷⁷ Some US BITs follow the NAFTA model.

⁷⁸ *Mondev v United States* (2002) 6 ICSID Rep. 211–213, at para 79.

⁷⁹ *Mondev International Ltd. v United States*, Award, ICSID Case No. ARB(AF)/99/2, 11 October 2002, at paras. 84–6; *Contra: Pope & Talbot v Canada*, Award in Respect of Damages, 31 May 2002, at paras. 75–6; *GAMI v Mexico*, Award, 15 November 2004, at paras. 120–1.

⁸⁰ *GAMI Investments Inc. v United Mexican States*, Submission of the United States (non-disputing party), 20 June 2003, at para. 17 ('[A]rticle 1116 provides standing for direct injuries; Article 1117 provides standing for indirect injuries. Were minority noncontrolling shareholders to be permitted to

Article 1117 in combination with NAFTA Article 1135(2) reflect a derivative claims model. According to Article 1135(2), any award of restitution or award of monetary damages is paid to the company, rather than the arbitrating shareholder. This departs from the default position under other investment treaties that compensation is paid to whoever successfully brings the claim, including shareholders bringing derivative claims. Like domestic corporate laws, Article 1135(2) disincentivizes derivative claims by requiring that any compensation be paid not to the shareholder but to the company. The *Mondev* Tribunal underscored the importance of this provision:

The principal difference [between Articles 1116 and 1117] relates to the treatment of any damages recovered. If the claim is brought under Article 1117, these must be paid to the enterprise, not to the investor (see Article 1135(2)). This would enable third parties with, for example, security interests or other rights against the enterprise to seek to satisfy these out of the damages paid. It could also make a difference in terms of the tax treatment of those damages.⁸¹

Consolidation of related proceedings under Article 1116 and 1117 is mandated unless the tribunal finds that the disputing parties would be prejudiced.⁸² NAFTA Article 1117(3) facilitates consolidation compared to the default rule on consolidation in Article 1126 in respect of two (or more) claims that fall in either of the following categories: (i) claims by the non-controlling investors (shareholder) in their own right and (ii) derivative claims under Article 1117. Conversely, Article 1117(3) does not provide for consolidation of (i) claims of controlling investors in their own right and (ii) derivative claims under Article 1117.

Article 1121 seems to implement a 'reverse' reflective loss principle that limits actions not by shareholders but by the company.⁸³ The condition precedent for a claim under NAFTA Article 1117 is a waiver by the company of any right to bring an action. Rather than preclude shareholders from arbitrating in relation to a loss that they have suffered directly, as in domestic company law, Article 1117 says that it is the company itself that is barred from initiating a separate action as a result of the waiver.

The case law of the European Court of Human Rights (ECtHR) is also instructive. The ECtHR's jurisdiction is limited to applications from 'victims'. Article 34 of the European Convention on Human Rights (ECHR) defines 'victim' as 'the person directly affected by the act or omission which is in issue'. The ECtHR has addressed the question of whether shareholders, and not just the

bring a claim under Article 1116 for indirect injuries, Article 1117 would be superfluous'); *Escrito de Contestación of Mexico*, 24 November 2003, at paras. 166–7.

⁸¹ *Mondev* (note 78), at para. 84; also para. 86 ('a NAFTA tribunal should be careful not to allow any recovery, in a claim that should have been brought under Article 1117, to be paid directly to the investor'); Kinnear, M.N., et al., *Investment Disputes under NAFTA, An Annotated Guide to NAFTA* Chapter 11 (Kluwer Law International, 2006 & 2008 Supp.), Art 1117, pp. 1–6.

⁸² Art. 1117(3).

⁸³ An alternative way of reading Art. 1121 is that it seeks to prevent dual claims when a controlling shareholder brings a derivative claim under Art. 1117 by precluding the enterprise from bringing a separate action. This brings us squarely to the *CME* and *Lauder v Czech Republic*-type scenario.

affected corporation, qualify as a 'victim' in a series of decisions.⁸⁴ Piercing the corporate veil for purposes of complaints before the ECtHR is very much the exception.⁸⁵ Due to the 'victim' requirement, the ECtHR, in contrast to investment law, has in effect a general bar on derivative claims by shareholders as well as on claims by shareholders for reflective loss.

Section 3 looks at the interests of both investors and host states in coordinating parallel and subsequent proceedings. It explains what might motivate investors and host states to work for or against the coordination of proceedings.

3. The Political Economy of Coordinating Adjudication Processes

According to one view, it is fundamental to the legitimacy of investment arbitration that the dispute settlement process operates coherently. Coordination is essential to avoid decisional fragmentation that undermines the rule of law.⁸⁶ 'Cross-treaty coherence' is said to be a defining feature of investment law as a *regime*.⁸⁷ Remarkably, consistency and predictability are said to exist even in the highly diffuse network of bilateral and regional investment treaties.⁸⁸ Inherent in the notion of the regime is at least some level of coherence. Inconsistent decisions by investment tribunals could pose a threat to IIL as a 'system' or 'regime', and more broadly, the unity of international law.

From another point of view, coherence may be overrated. We need to ask why coherence matters, and why it matters for the parties. Which actors in investment arbitration have incentives to work towards coherence, and why? Do their preferences for consistency vary over time and across cases? Consistency, in view of the 'considerable heterogeneity in treaty form, substance and procedure' could also be costly. As Kurtz explains, consistency taken to extremes risks 'masking or flattening those differences'.⁸⁹

Coordination of proceedings is not the same as coherence. All that coordination means is that there is some level of organization in the decentralized world of investment arbitration. Nevertheless, it does not mean that different investment tribunals invariably reach the same decisions and adopt the same reasoning in support of their findings. The optimal degree of coordination is unlikely be maximum coordination.

That international law lacks rules, such as *lis pendens* or *forum non conveniens*, to manage parallel and subsequent proceedings is often regarded as a shortcoming. This gap is said to render the resolution of jurisdictional overlaps between different

⁸⁴ *Agrotexim et al. v Greece* (App. No. 14807/89) (1995) Series A No. 330, at para. 66 (piercing of corporate veil only in exceptional circumstances); *Olczak v Poland* (App. No. 30417/96) ECHR 7 November 2000, at para. 58; *Géniteau v France (No. 2)* (App. No. 4069/02) ECHR 8 November 2005.

⁸⁵ Emberland, M., 'The Corporate Veil in the Case Law of the European Court of Human Rights' (2006) 63 *ZaōRV* 945.

⁸⁶ See Fuller, L.L., 'Adjudication and the Rule of Law' (1960) 54 *Am. Soc'y Int'l L. Proc.* 1, based on Polanyi, M., *The Logic of Liberty* (Routledge, 1951), at pp. 170 et seq.

⁸⁷ Schill, *The Multilateralization of International Investment Law* (note 9), ch. VII.

⁸⁸ See Chapter 9 in this volume, at p. 271.

⁸⁹ See Chapter 9 in this volume, at p. 272.

international courts across regimes and intra-regime coordination more difficult. Yet it may simply be a 'luxury problem. Most international lawyers, including investment lawyers, could only dream of having *any* international tribunal to which to bring a claim until recently.'⁹⁰

In theory, competition between investment tribunals is not necessarily undesirable. It depends on what forms such competition takes. A healthy level of competition among tribunals may improve the quality of rulings and shorten the duration of proceedings. Investment tribunals keeping a watchful eye over other tribunals can encourage discipline and enhance the system's legitimacy.⁹¹

3.1 Claimant interests

Investors, who are often one-shot players in IIL, are likely to care primarily about the outcome in their particular case, rather than about coherence, either at the level of outcomes in investment arbitrations or the legal reasoning adopted by investment tribunals. The number of repeat claimants in investment arbitration is very small (e.g. SGS).

Determined investors, especially those with deep pockets, are incentivized to try their luck in multiple forums, both at the adjudication and at the enforcement stage. They will shop for the forum in which they can maximize their compensation or other favourable outcome, such as putting most pressure on the host state to agree to a generous settlement. Conversely, smaller investors are less likely to forum shop, and likely to perceive greater advantages in economies of scale by bundling their claims with other investors, as in the case of mass claims. Mass claims can provide investors with substantial economies of scale, as the *Abaclat* arbitration shows.⁹² The cost of arbitration will typically be more important to this group than to deep-pocketed investors, third-party funders, or host states.⁹³

Some investors may appreciate the possibility of parallel proceedings because they could enhance the efficiency of arbitration. Even though the speed of decision-making continues to be touted as a major advantage of arbitration, the average duration of investment arbitration proceedings is 3.6 years.⁹⁴ In the absence of *res judicata* in investment arbitration, tribunals adjudicating similar disputes are unlikely, as a rule, to be incentivized to issue an award first. Much will depend

⁹⁰ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 80.

⁹¹ Cogan, K., 'Competition and Control in International Adjudication' (2007) 48 *Va J. Int'l L.* 411, at pp. 440–9; Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 80 ('a healthy level of competition . . . may improve the quality of rulings and the expediency of proceedings'); Higgins, 'A Babel of Judicial Voices?' (note 25) (proliferation of international courts more of an opportunity than a problem). Compare Bjorklund, A., 'Private Rights and Public International Law: Why Competition Among International Economic Law Tribunals is Not Working' (2007) 59 *Hastings L.J.* 241 (the possibility of bringing duplicate cases brings disrepute to international dispute settlement mechanisms); Guillaume, G., 'Advantages and Risks of Proliferation: A Blueprint for Action' (2004) 2 *J. Int'l Crim. Justice* 300 (competition will lead to a decline in the quality of judicial decisions and increase the number of inconsistent decisions).

⁹² Strong, *Class, Mass, and Collective Arbitration* (note 45), at p. 118.

⁹³ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11).

⁹⁴ Sinclair, A., 'ICSID Arbitration: How Long Does it Take?' (2009) 4(5) *Global Arb. Rev.*

on the individual arbitrators; in specific cases, the arbitrators may prefer to wait to issue their award until they have the benefit of the other tribunal's award.

The *Lauder* award, decided ten days before the *CME* award, might be an example of where two tribunals competed to issue the first award. However, it is also possible that the two tribunals kept each other informed informally about the progress of their respective proceedings, and even that they coordinated behind the scenes to achieve a result that mirrors the position under domestic corporate law.

Investment tribunals have thus far not applied *res judicata*. As a result, the timing of an award is irrelevant for the purpose of which award prevails. The Czech Republic had to pay compensation to CME, even though the *Lauder* Tribunal issued its award first.

If investment tribunals started applying *res judicata*, but not *lis pendens*, they would encourage a race to an award between two or more parallel investment arbitrations. As a result, the earlier investment tribunal's decision would prevail, irrespective of which tribunal was first seised. Provided that one of their goals is for their awards to be relevant and influence IIL (a reasonable assumption in most cases), tribunals would have incentives to expedite their proceedings.

Conversely, if both *lis pendens* and *res judicata* apply, potential claimants are encouraged to race to the arbitral tribunals as only the first investor to file for arbitration would see its claim adjudicated.

Investment tribunals may not always be comparable in terms of expertise or procedural efficiency. Imagine that Investor A hires lawyers without any experience in investment arbitration and appoints an academic with no previous arbitration experience as its arbitrator. The two party-appointed arbitrators in turn appoint a president of the arbitral tribunal who has never previously chaired an investment arbitration. By contrast, investor B hires one of the most experienced law firms to give legal advice in relation to the arbitration, and appoints an arbitrator with fifteen previous appointments, and a former ICJ judge with decades of experience as president of the tribunal. Investor A's expenses for counsel are one third of the expenses of B (assume that both cases are similar in complexity), and the expenses for the arbitrators are 50 per cent lower in the first arbitration. The tribunal in Case A might take twice as long to issue a final award compared to Case B. In the first case, the investor is trying to spend the minimum, whereas in Case B the investor is keen on a quick resolution of the dispute, and spares no expense to achieve that end. Not all investment tribunals are necessarily similarly expert, or similarly efficient. Despite the two cases being closely related, investor B may thus be keen for the two proceedings be kept separate, such that Case B is adjudicated more quickly.

3.2 Host state interests

Host states, much more than investors, are likely to be repeat players in investment arbitration.⁹⁵ States care little about whether investment arbitration is a 'regime' or

⁹⁵ See Chapter 9 in this volume, at p. 272.

whether it delivers consistent outcomes. Instead, they focus on the outcome of the cases in which they are currently involved, and potential future cases. Like investors, consistent outcomes in similarly situated disputes have no value to host states *per se*. What matters most is that the decision outcomes are favourable to the state.⁹⁶ Inconsistent decisions may even have some value to host states, or a lack of coordination may undermine the legitimacy of international investment arbitration—a result which some states might regard as a welcome by-product of decisional fragmentation—or increase the host state's chance of success in annulment proceedings or challenges before national courts.

Host states may also be happy for disputes to linger on, whereas investors are likely to attach greater importance to their dispute being settled or resolved. Investors often file cases only after they have made a decision to exit a particular country, or not to invest in that host country in the future. That the dispute remains wholly or partly unresolved may not be a major concern for the host country. Host states may have little to gain from the resolution of the dispute. The upside of successful dispute resolution may be limited, whereas the downside—in the form of compensation payments—could be considerable. Nevertheless, host state interests are likely to differ if pending disputes worsen the investment climate as perceived by other investors; if they negatively affect the country's reputation for the rule of law, good governance, and compliance with its international legal obligations; if they expose the country to litigation in other forums; and particularly, if the host country is exposed to enforcement action. Given the considerable hurdles to such enforcement, however, this possibility is likely to be a significant factor in the host country's decision-making only if such enforcement has the potential to hurt the host country, such as by impeding the financing of major new projects or access to the capital markets in important financial centres.

As a rule, host states are unlikely to favour mass claims or class arbitration. A large number of claimants or members of the class raises the stakes for host states, and increases the downside of losing the case. If the mass claim or class arbitration covers all potential claimants, the state will only have one chance to defend itself. The ability of investors to bundle their claims could also increase the propensity to arbitrate by lowering the costs and could dramatically increase the amount of compensation that host states need to pay.⁹⁷ Section 4 now turns to techniques that investment tribunals can use to coordinate proceedings.

4. Coordination Techniques

National courts, and potentially investment tribunals, have a wide variety of techniques available for managing jurisdictional conflicts between different courts

⁹⁶ Contra, see Chapter 9 in this volume.

⁹⁷ *AT & T Mobility v Concepcion* (note 47) (greatly increased risk to the defendant in class arbitration).

or tribunals: these include mandatory rules, such as *res judicata*, exclusive jurisdiction, appeal, *lis pendens*, priority of the court first seized, and discretionary ones, such as stays of litigation, anti-suit injunctions, and *forum non conveniens*.⁹⁸ Yet international tribunals in general, and investment tribunals in particular, rarely apply these domestic techniques. Some techniques such as *res judicata* and *lis pendens* are also ill-suited to be applied internationally without significant adjustment.

The settlement of international disputes generally, and of investment tribunals in particular, is still stuck in the past when the landscape of international courts and tribunals was sparsely populated. As a result, international law lacks its own techniques for coordinating overlapping jurisdictions. The attempts to borrow from domestic coordination techniques are incomplete, and often encounter the difficulty that they cannot take place without the consent of the parties (whereas the techniques in domestic laws typically can be deployed even without such agreement).

Careful scrutiny of a tribunal's jurisdiction is the most powerful coordination mechanism. The first strategy to avoid the duplication of proceedings is for host states to successfully challenge the tribunal's jurisdiction and/or to argue that the claims are inadmissible.⁹⁹ For example, as we saw in section 2.4, host countries could argue that derivative claims by shareholders or claims for reflective loss are inadmissible.

4.1 Waiver of alternative remedies

At first sight, Article 26 of the ICSID Convention is a powerful provision against multiple proceedings. It provides that: 'Consent of the parties to arbitration under this Convention shall, unless otherwise stated, be deemed consent to such arbitration to the exclusion of any other remedy.' Article 26 is directed at the coordination of ICSID arbitration vis-à-vis national proceedings.¹⁰⁰

However, under the widely accepted offer-and-acceptance model, the investor provides consent to arbitration only with the request for arbitration. Whereas Article 26's coordination mechanism was powerful with respect to negotiated arbitration clauses included in investor-state contracts, Article 26 has no purchase in the now dominant model of arbitration without privity where the investor's consent is given simultaneously with the request for arbitration.¹⁰¹

⁹⁸ See Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at pp. 98–102 for an overview of the various kinds of coordination tools at the disposal of international tribunals.

⁹⁹ See generally Wehland, H., *The Coordination of Multiple Proceedings in Investment Treaty Arbitration* (Oxford University Press, 2013), ch. 3.

¹⁰⁰ Schreuer, C.H., 'Commentary on the ICSID Convention' (1997) 12 *ICSID Rev.* 59, at p. 154; Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 193.

¹⁰¹ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 192 concludes that this seemingly 'typical exclusive jurisdiction clauses' is in fact a 'flexible exclusive jurisdiction clause' of limited significance.

ICSID Article 27 bars the investor's home state from bringing a diplomatic protection claim once its national has consented to arbitration under the ICSID Convention. Article 27(1) provides that:

No Contracting State shall give diplomatic protection, or bring an international claim, in respect of a dispute which one of its nationals and another Contracting State shall have consented to submit or shall have submitted to arbitration under this Convention, unless such other Contracting State shall have failed to abide by and comply with the award rendered in such dispute.

The drafters included this provision, among others, to protect host states from multiple claims.¹⁰² While Article 27(1) expressly prohibits states from extending diplomatic protection over disputes which have been already submitted to arbitration, it also provides for the revival of diplomatic protection if the host state fails to comply with the award. Article 27 is not concerned with parallel investor-state arbitrations, but rather with parallel investor-state and state-state arbitration or diplomatic protection in respect of the same dispute.¹⁰³ It encapsulates elements of *lis pendens* in respect of these two particular types of parallel proceedings. It is irrelevant for parallel investor-state proceedings.

The NAFTA contains more powerful coordination tools. NAFTA Article 1120 limits the investor's choice of forum to a binary choice between NAFTA and UNCITRAL arbitration. The initiation of either type of arbitration requires the investor to waive any other types of proceedings, including under domestic law, against the host state.¹⁰⁴ NAFTA Article 1121(2) mandates that parties to NAFTA arbitrations waive their right to initiate or discontinue pending proceedings before any administrative tribunal or court under the law of either party, or other dispute settlement procedures with respect to the impugned action of the host state which allegedly breached the obligations in the NAFTA.¹⁰⁵ This waiver is broad, as the focus is on the impugned measure, in contrast to the triple identity test of *lis pendens* and *res judicata* examined in section 4.2. It also applies if the two actions are not identical.

In addition, NAFTA Article 2005(6) aims to avoid parallel proceedings between the NAFTA and WTO Dispute Settlement. Shany calls Article 2005 a

¹⁰² ICSID, *History of the ICSID Convention: Documents Concerning the Origin and the Formulation of the Convention on the Settlement of Investment Disputes between States and Nationals of Other States* (1970), Vol. I, at p. 372; also p. 242 ('it was sought to ensure that States would not be faced with having to deal with a multiplicity of claims and claimants') and p. 303. See also Schreuer, 'Commentary on the ICSID Convention' (note 100), at p. 212; Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 194.

¹⁰³ Schreuer (note 100), at p. 399.

¹⁰⁴ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 209.

¹⁰⁵ Dodge, W.S., 'Local Remedies under NAFTA Chapter 11' in Gaillard, E., and F. Bachand (eds.), *Fifteen Years of NAFTA Chapter 11 Arbitration* (Juris, 2011); Shany, Y., *Regulating Jurisdictional Relations between National and International Courts* (Oxford University Press, 2007), at p. 30; Gathright, B.K., 'A Step in the Wrong Direction: The Loewen Finality Requirement and the Local Remedies Rule in NAFTA Chapter Eleven' (2005) 54 *Emory L.J.* 1093; Bjorklund, A., 'Waiver and Exhaustion of Local Remedies Rule in NAFTA Jurisprudence' in Weiler, T. (ed.), *NAFTA Investment Law and Arbitration: Past Issues, Current Practice, Future Prospects* (Transnational, 2004), pp. 253, at p. 278–9.

'sophisticated jurisdiction-regulating clause providing for a unique mixture of flexibility and rigidity'.¹⁰⁶ It provides:

Once dispute settlement procedures have been initiated under [NAFTA] Article 2007 or dispute settlement proceedings have been initiated under the GATT, the forum selected shall be used to the exclusion of the other...

4.2 *Res judicata* and *lis pendens*

In the absence of a hierarchy between investment tribunals, *res judicata* and *lis pendens* could play a role in coordinating adjudication processes. *Res judicata* is the more fundamental technique, and has resonated more in international law to date. On occasion, international tribunals have imported these principles that are designed to curb forum shopping in domestic legal settings.¹⁰⁷ However, their effectiveness is limited, especially in investment arbitration.¹⁰⁸ Neither *res judicata* nor *lis pendens* has had much purchase with investment tribunals.

The two coordination mechanisms aim at different objects. *Res judicata* aims at coordination between subsequent proceedings—the first award is given priority. *Lis pendens* aims to prevent divergent outcomes in parallel proceedings—the proceedings first initiated are given priority. In addition, the complementary principles of good faith, estoppel, or abuse of process may help curb abusive litigation.¹⁰⁹

Both principles introduce a temporal hierarchy among tribunals. Whether to apply *res judicata* and/or *lis pendens* involves policy choices, rather than legal logic. It is conceivable for tribunals to only apply *res judicata*, rather than also *lis pendens*.¹¹⁰

A) *Res judicata*

Res judicata is found in both common and civil law jurisdictions. Its rationale is to ensure finality of judicial decision-making. It is arguably a general principle of international law.¹¹¹ In *Socobelge*, the Permanent Court of International Justice

¹⁰⁶ Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 208.

¹⁰⁷ *Application of the Convention on the Prevention and Punishment of the Crime of Genocide (Bosnia and Herzegovina v Serbia and Montenegro)*, Merits [2007] ICJ Rep. 1, at pp. 43–53.

¹⁰⁸ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 104 ('applying *res judicata* to deal with overlaps between different international courts and tribunals [is] mostly... a waste of time'); Webb, *International Judicial Integration and Fragmentation* (note 8), at p. 218.

¹⁰⁹ Lowe, V., 'Overlapping Jurisdiction in International Tribunals' (1999) 20 *Aus. Yb. Int'l L.* 191.

¹¹⁰ But see Reinisch, A., 'The Use And Limits of Res Judicata and Lis Pendens as Procedural Tools to Avoid Conflicting Dispute Settlement Outcomes' (2004) 3 *L. Prac. Int'l Courts Tribunals* 37, at p. 50 (*res judicata* implies also *lis pendens*).

¹¹¹ Reinisch, A., 'The Use And Limits of Res Judicata and Lis Pendens' (note 110) at p. 45; Parry, C., et al. (eds.), *Encyclopaedic Dictionary of International Law* (Oceana, 1986), at pp. 341, 339; Cheng, B., *General Principles of Law as Applied by International Courts and Tribunals* (Cambridge University Press, 1953), at p. 336; *Pious Fund of the Californias (United States v Mexico)* (1908) 2 *Am. J. Int'l L.* 893; *Trail Smelter (United States v Canada)* (1941) 3 *R.I.A.A.* 1905, at p. 1950; *Waste Management v United Mexican States*, Mexico's Preliminary Objection concerning the Previous Proceedings, ICSID Case No. ARB(AF)/00/3, 26 June 2002, at para. 39; Shany, Y., *The Competing Jurisdictions of*

(PCIJ) held that awards rendered in mixed arbitration proceedings constituted *res judicata*. It determined that it could not re-hear the case and affirmed that the commercial arbitration awards were enforceable.¹¹²

'Issue estoppel'¹¹³ and the concept of 'related actions'¹¹⁴ can be used to similar ends, and are not subject to the same constraints as *res judicata*.¹¹⁵ Estoppel 'exists when a State, by its conduct, has created the appearance of a particular situation and another State, relying on such conduct in good faith, has acted or abstained from an action to its detriment'.¹¹⁶ An investor, such as a shareholder who undertook vis-à-vis the host state not to bring a separate arbitration from the company, could be estopped from invoking a tribunal's jurisdiction. Similarly, a shareholder of a domestic company that entered liquidation proceedings would be estopped from claiming in liquidation if the shareholder has already recovered in arbitration.

B) *Lis pendens*

Lis pendens or *lis alibi pendens* applies to parallel proceedings.¹¹⁷ The principle is designed to coordinate claims before comparable adjudicators. It acts as a bar against new proceedings in the same dispute. Whether *lis pendens* forms part of customary international law is disputed.¹¹⁸ *Lis pendens* has played a more limited role in dispute settlement than *res judicata*.¹¹⁹ Given the limited number of international

International Courts and Tribunals (note 1), at p. 245; Brown, *A Common Law of International Adjudication* (note 24), at p. 155; McLachlan et al., *International Investment Arbitration* (note 4), at para. 4.128; cf. also Art. 23 of the WTO Dispute Settlement Understanding (DSU).

¹¹² *Société Commerciale de Belgique (Socobelge) case* [1939] PCIJ Series A/B No. 78, at p. 160–90; Waibel, M., *Sovereign Defaults before International Courts and Tribunals* (Cambridge University Press, 2011), at pp. 93–7.

¹¹³ *Carl Zeiss Stiftung v Rayner & Keeler Ltd* [1967] 1 A.C. 853, at p. 925 (H.L.) (issue estoppel is comparable to *res judicata* yet broader as it does not require identity in the causes of action).

¹¹⁴ Council Regulation 44/2001, On Jurisdiction and the Recognition and Enforcement of Judgments in Civil and Commercial Matters [2000] O.J. L12/1, at p. 9.

¹¹⁵ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 104.

¹¹⁶ *Dispute Concerning Delimitation of the Maritime Boundary between Bangladesh and Myanmar in the Bay of Bengal (Bangladesh/Myanmar)*, Judgment, ITLOS Case No. 16, 14 March 2012, at para. 124.

¹¹⁷ Lowe, 'Overlapping Jurisdiction in International Tribunals' (note 109), at p. 202 (a general principle of law that any international tribunal may apply on the basis of implied competence); Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 162.

¹¹⁸ *Certain German Interests in Polish Upper Silesia (Germany v Poland)*, Preliminary Objections, Judgment, 25 August 1925, [1925] PCIJ Series A No. 6, 5, 20; Cuniberti, G., 'Parallel Litigation and Foreign Investment Dispute Settlement' (2006) 21 *ICSID Rev.* 381; Lowe, 'Overlapping Jurisdiction in International Tribunals' (note 109), at pp. 202–3; Reinisch, 'The Use And Limits of Res Judicata and Lis Pendens' (note 110), at p. 48; McLachlan et al., *International Investment Arbitration* (note 4), at p. 456; Frowein, J.A., and R. Wolfrum (eds.), 'Multiplication of International Courts and Tribunals and Conflicting Jurisdiction—Problems and Possible Solutions' (2001) 5 *Max Planck Yb. UN L.* 67, at p. 77.

¹¹⁹ *Benvenuti and Bonfant SRL v Government of the People's Republic of Congo*, Final Award, 8 August 1980 (1980) 1 *ICSID Rep.* 335, at para. 1.14; Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 243; *SGS Société Générale de Surveillance SA v Islamic*

courts and tribunals until recently, it was unusual for two or more international tribunals to be seized of the same dispute simultaneously.¹²⁰

For *lis pendens* to apply, the disputing parties, the object, and the cause of the action need to be identical.¹²¹ In investment arbitration, the triple-identity test of parties, object, and cause of action are typically not fulfilled because distinct legal entities initiate the arbitrations, such as a shareholder and the company; further, the claims may be brought under different BITs.

The *CME–Lauder* dispute illustrates the limitations of *lis pendens*. The Czech government, in challenging the award in *CME v Czech Republic*, invoked among others *lis pendens* and *res judicata*. The Svea Court of Appeal rejected the Czech Republic's claim that both arbitrations related to the same dispute under the Czech Republic–US BIT.¹²² The claimants were not the same and their arbitrations based on different BITs:

The Arbitral tribunal considers that the Respondent's resource to the principle of *lis alibi pendens* to be of no use, since all the other court and arbitration proceedings involve different parties and different causes of action... Therefore, no possibility exists that any other court or arbitral tribunal can render a decision similar to or inconsistent with the award which will be issued by this Arbitral Tribunal, i.e. that the Czech Republic breached or did not breach the Treaty, and is or is not liable for damages towards Mr Lauder.¹²³

After similarly rejecting the Czech Tribunal's abuse of process argument, all the *Lauder* Tribunal was prepared to say was that double recovery should be prevented when it came to assessing damages in the *CME* proceedings. That the Czech Republic had opposed consolidation was another factor that the *Lauder* Tribunal took into account.¹²⁴

A more liberal approach in applying the three criteria for *lis pendens* and *res judicata* could allow investment tribunals to take due account of the economic realities of cross-border investment. In respect of the identity of the parties, possibilities include a test of substantial identity between the parties, piercing the corporate veil, the European Court of Justice's 'single economic entity doctrine', and treating the majority shareholder and the company as a single economic unit.¹²⁵

Republic of Pakistan, Decision on Objections to Jurisdiction, ICSID Case No. ARB/01/13, 6 August 2003, (2003) 42 I.L.M. 1290.

¹²⁰ Reinisch, 'The Use And Limits of Res Judicata and Lis Pendens' (note 110), at pp. 57–77; Cuniberti, 'Parallel Litigation and Foreign Investment Dispute Settlement' (note 118), at pp. 419–20; Shany, *The Competing Jurisdictions of International Courts and Tribunals* (note 1), at p. 241; Fitzmaurice, G., *The Law and Procedure of the International Court of Justice* (Grotius, 1986), Vol. II, at p. 437.

¹²¹ Judge Anzilotti in the *Chorzów Factory Case*, speaking of 'three traditional elements for identification, persona, petitem, causa petendi.' Interpretation of Judgments Nos. 7 and 8 Concerning the Case of the Factory [1927] PCIJ Series. A No. 11, at p. 23 (dissenting opinion of Judge Anzilotti).

¹²² Treaty between the United States of America and the Czech and Slovak Federal Republic Concerning the Reciprocal Encouragement and Protection of Investment, signed on 22 October 1991.

¹²³ *CME v Czech Republic*, Svea Court of Appeal, Case No. T 8735-01, 15 May 2003, 95, at p. 98.

¹²⁴ *Lauder v Czech Republic* (note 63), at para. 173.

¹²⁵ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at pp. 91, 104; Reinisch, 'The Use And Limits of Res Judicata and Lis Pendens' (note 110), at pp. 57–77; McLachlan et al., *International Investment Arbitration* (note 4), at para. 4.132.

The third criteria for the application of *res judicata* and *lis pendens* is an identical, or substantially similar, legal basis. The main reason why the Czech Republic's appeal to *res judicata* before the Swedish Svea Court failed was that the company and the shareholder initiated the arbitrations under two different BITs. Similarly, the WTO Appellate Body in *Mexico–Soft Drinks* exercised jurisdiction, despite Mexico's prior initiation of proceedings under the NAFTA, as the legal bases of the two claims differed. It concurred with the Panel's finding that 'neither the subject matter nor the respective positions of the parties are identical in the dispute under the NAFTA... and the dispute before us'.¹²⁶ *Res judicata* did not apply.

An alternative approach that would give greater scope to *res judicata* and *lis pendens* is to treat substantially similar legal bases as sufficient. One could consider inter-regime causes of action (such as any national treatment claim, or a fair and equitable claim under any international investment agreement) to suffice for purposes of the triple-identity test, while continuing to regard cross-regime claims, i.e. a claim under the NAFTA and a claim under the WTO agreements, as dissimilar.¹²⁷ In *Southern Bluefin Tuna*, the UNCLOS Tribunal adopted a more flexible approach that focused on the essential basis of the dispute. It held that the 'dispute' between the parties under the UNCLOS and CCSBT was substantially the same, notwithstanding formally different legal bases for the claims. The dispute under the UNCLOS related to general rules regarding conservation of fisheries and their management¹²⁸ whereas the CCSBT dealt with norms on total allowable catch.¹²⁹

C) Fork-in-the-road clauses

Fork-in-the-road clauses exist in many BITs. They provide a choice between local remedies and international arbitration, but not both. The crucial point for the application of fork-in-the-road clauses is to identify the 'dispute' in question, which is particularly important in relation to treaty and contract claims.¹³⁰ Investors, once they have taken the fork in the road, are prevented from changing track on their chosen dispute resolution mechanism.¹³¹ However, new claims are not precluded. In respect of such claims, the investor may choose to go to the national courts of the host state rather than international arbitration. Should the investor suffer a denial of justice in national courts, such a (new) claim would also still be admissible in investment arbitration.

In *Mexico–Soft Drinks*, Mexico could have invoked the fork-in-the-road clause in NAFTA Article 2005(6) as precluding the United States from bringing the dispute

¹²⁶ *Mexico—Tax Measures on Soft Drinks and Other Beverages*, Report of the Appellate Body, WT/DS308/AB/R, adopted 6 March 2006, at para. 54.

¹²⁷ The claims in *Mexico Soft Drinks*, for example, would thus still be different.

¹²⁸ See UNCLOS Arts 64(1), 117, 118, 119.

¹²⁹ See CCSBT Art. 3.

¹³⁰ *Pantechniki SA Contractors & Engineers (Greece) v Republic of Albania*, Award, ICSID Case No ARB/07/21, 30 July 2009, at para. 64; Schreuer, C., 'Travelling the BIT Route, of Waiting Periods, Umbrella Clauses and Forks in the Road' (2004) 5 *J. World Investment & Trade* 231, at p. 239.

¹³¹ Douglas, *The International Law of Investment Claims* (note 53), at para. 320 (the rationale of fork-in-the-road provisions is to avoid multiple proceedings and to prevent the investor from having several bites at the cherry).

to the WTO, but failed to do so. It was left to the Mexican sugar industry in its *amicus curiae* submission to point to Article 2005(6).¹³² The trade group took the view that Article 2005(6) implied that the NAFTA's jurisdiction was exclusive from seisin. The Appellate Body briefly referred to the provision in its report but made no finding, as Mexico had not submitted any arguments.¹³³ In contrast to *res judicata*, which if its criteria are applied strictly requires an identical cause of action, the application of Article 2005(6) is not subject to the same strictures, given that it refers more broadly to 'matter'.¹³⁴

4.3 De facto consolidation: appointing identical tribunals

Appointing tribunals with similar arbitrators is yet another mechanism to coordinate similar claims ('practical consolidation').¹³⁵ It provides an alternative to formal consolidation (see section 4.4), for which party consent is often elusive. Yet given the appointing modalities for investment arbitration, under either ICSID or UNCITRAL rules, it is rarely possible to appoint identical tribunals unless identical tribunals are in the joint interest of the parties. Even if the parties in the related proceedings do not appoint the same party-appointed arbitrators, sharing the same president may also be a major stepping stone in coordinating the proceedings. Another practical possibility of coordinating proceedings is concurrent hearings.¹³⁶

With the agreement of the parties, ICSID has on several occasions appointed identical tribunals. The first set of cases goes back to the early 1970s: *Alcoa, Kaiser Bauxite*, and *Reynolds v Jamaica*.¹³⁷ More recently, in *Camuzzi v Argentina* and *Sempra v Argentina*, the parties agreed to appoint the same arbitrators. Importantly, Camuzzi, the majority shareholder, and Sempra the minority shareholder, in two Argentinean gas distribution companies, both initiated parallel arbitrations against Argentina. The two tribunals reached the same conclusion.¹³⁸ This de facto

¹³² Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11), at p. 89 (citing Amicus Curiae Brief by Cámara Nacional de las Industrias Azucarera y Alcohólica—Mexico (CNIAA), at para. 19, *Mexico—Tax Measures on Soft Drinks and Other Beverages*, WT/DS308/AB/R, 12 January 2006).

¹³³ Appellate Body Report, *Mexico—Tax Measures on Soft Drinks and Other Beverages*, WT/DS308/AB/R, 6 March 2006, at para. 54.

¹³⁴ Pauwelyn and Salles, 'Forum Shopping Before International Tribunals' (note 11).

¹³⁵ *Abu Dhabi Gas Liquefaction Co Ltd v Eastern Bechtel Corp.* [1982] 2 Lloyd's Rep. 425 (appointment authority lacked power to consolidate proceedings, but could appoint the same sole arbitrator to avoid inconsistent findings); Steingruber, A.M., *Consent in International Arbitration* (Oxford University Press, 2012), at paras. 10.64–10.71; cf. also Art. 9 DSU which allows the same WTO panel to be appointed where complaints relate to the same matter.

¹³⁶ Arbitration Act 1996, s. 35 (England & Wales); Steingruber, *Consent in International Arbitration* (note 135), at para. 10.67 (referring to Art. 14(b) of the London Maritime Arbitrators Association Terms (2006)).

¹³⁷ *Reynolds Jamaica Mines Ltd and Reynolds Metals Co. v Jamaica*, ICSID Case No. ARB/74/4 (Discontinued); *Kaiser Bauxite Co. v Jamaica*, ICSID Case No. ARB/74/4 (Settlement); *Alcoa Minerals of Jamaica, Inc. v Jamaica*, ICSID Case No. ARB/74/2.

¹³⁸ *Camuzzi International SA v Argentine Republic*, Decision on Jurisdiction, ICSID Case No. ARB/03/2, 11 May 2005 and *Sempra Energy International v Argentine Republic*, Decision on Jurisdiction, ICSID Case No. ARB/02/16, 11 May 2005. See also the three *Suez* cases in *Suez, Sociedad General de Aguas de Barcelona SA, and InterAgua Servicios Integrales del Agua SA*, Decision on Liability, ICSID Case No. ARB/03/17, 30 June 2010.

consolidation, in a scenario similar to *CME–Lauder*, led to the coordination of two parallel investment arbitrations.

In the three parallel bond cases against Argentina, the investors appointed Karl-Heinz Böckstiegel in both *Alemanni* and *Ambiente Ufficio*.¹³⁹ Following the resignation of Arbitrator Georges Abi-Saab in *Abaclat*, Argentina appointed arbitrator Santiago Torres-Bernárdez to the *Abaclat* Tribunal, in addition to his appointment to the *Ambiente Ufficio* Tribunal. At the same time, all three tribunals have different presidents. The same lawyers represent the investors in *Alemanni* and *Ambiente Ufficio*. The two smaller bond cases would have been good candidates for de facto, even if not formal, consolidation. A likely difficulty to formally, or even de facto, consolidate all three bond cases against Argentina was the much larger number of holders of security entitlements in *Abaclat* as compared to *Alemanni* and *Ambiente Ufficio* (sixty thousand in *Abaclat* vis-à-vis several dozen in *Alemanni* and *Ambiente Ufficio*).

4.4 Formal consolidation

Arbitral tribunals have no inherent power to order consolidation of related proceedings, and as a rule, party consent is required for consolidation. The requirement for parties to consent is the major obstacle to the formal coordination of investment arbitrations.¹⁴⁰ The ICSID Convention and the UNCITRAL Rules are silent on consolidation.¹⁴¹

Unusually, NAFTA Article 1126 allows consolidation without the agreement of the parties. A special NAFTA consolidation tribunal decides whether or not to consolidate two or more NAFTA Chapter 11 arbitrations. The NAFTA consolidation tribunal enjoys broad discretion on consolidation. It can decide to fully or partially consolidate NAFTA Chapter 11 claims.

In *Mexico–Soft Drinks*, the WTO Dispute Settlement Body adjudicated a dispute despite a pending NAFTA arbitration in which Mexico sought to enforce sugar quota rights. Cargill, Archer Daniels Midlands, and Tate & Lyle challenged a Mexican tax on soft drink sweeteners that Mexico had introduced to retaliate over the disputed quota rights. Unlike the Czech Republic in *CME/Lauder*, Mexico favoured consolidation, and in September 2004, requested the consolidation of the three pending NAFTA arbitrations.¹⁴²

¹³⁹ *Giovanni Alemanni et al. v Argentine Republic*, ICSID Case No. ARB/07/8; *Ambiente Ufficio SpA et al. v Argentine Republic*, ICSID Case No. ARB/08/9.

¹⁴⁰ Born, G., *International Commercial Arbitration* (Kluwer, 2009), at p. 2074; Steingruber, *Consent in International Arbitration* (note 135), at p. 165 (to safeguard party autonomy), and paras. 10.04–10.19 (highlighting the tension with compulsory joinder and the requirement for parties to consent to the jurisdiction of arbitral tribunals).

¹⁴¹ Caron, D.D., and C. Lee, *The UNCITRAL Arbitration Rules: A Commentary* (Oxford University Press, 2013), at p. 57.

¹⁴² *Archer Daniels Midland Co. and Tate & Lyle Ingredients Americas, Inc. v United Mexican States*, Award, ICSID Case No. ARB(AF)/04/01, 21 November 2007; *Corn Products International Inc. v United Mexican States*, ICSID Case No. ARB(AF)/05/2 and *Cargill, Inc. v United Mexican States*, Award, ICSID Case No. ARB(AF)/05/2, 19 September 2009.

Yet three out of four investors opposed consolidation. While party consent is not necessarily required, consolidation under NAFTA Article 1126 is subject to two requirements: (1) the claims submitted to arbitration must 'have a question of law or fact in common', and (2) consolidation is 'in the interest of a fair and efficient resolution of the claims'. Even though the consolidation tribunal found that the claims shared many similarities, it declined to consolidate the arbitrations in this instance.¹⁴³ It sided with the investors on the ground that the companies were competitors in the Mexican market. It would have been difficult to protect confidential business information in a consolidated arbitration. As a result, consolidation was not 'in the interest of a fair and efficient resolution of the claims'. Acknowledging the risk of inconsistent awards and the resulting potential unfairness to Mexico, the Tribunal explained that it balanced the prejudice to the claimants (much slower proceedings due to the complex confidentiality rules required) against Mexico's interest not to face inconsistent awards, and found that the latter was not enough to tip the scale in favour of consolidation. Another factor in the Tribunal's decision was that the proceedings were at different stages.

Specific consolidation provisions in international investment agreements apart from the NAFTA remain the exception.¹⁴⁴ Another example, modelled on NAFTA Article 1126, is Article 33 of the 2012 US Model BIT which provides that

1. Where two or more claims have been submitted separately to arbitration under Article 24 (1) and the claims have a question of law or fact in common and arise out of the same events or circumstances, any disputing party may seek a consolidation order in accordance with the agreement of all the disputing parties sought to be covered by the order or the terms of paragraphs 2 through 10.¹⁴⁵

Importantly, the NAFTA, as well as the 2012 US Model BIT, permits consolidation even where the parties are not (formally) the same. *Canfor v United States*, the first successful consolidation of investment arbitrations, underscores the potential of the NAFTA's consolidation mechanism. The Tribunal consolidated the three softwood lumber cases that Canfor, the Tembec group, and Terminal Forest Product had commenced over the objections of all three claimants. It applied the consolidation provision liberally:

The desirability of avoiding conflicting results is not limited to cases where the parties are the same. Cases with different parties may present the same legal issues arising out of the same event or related to the same measure. Conflicting results then may take place if the findings with respect to those issues differ in two or more cases.¹⁴⁶

¹⁴³ *Corn Products International Inc. v. United Mexican States, and Archer Daniels Midland Co. and Tate & Lyle Ingredients Americas Inc. v. United Mexican States*, ICSID Case No. ARB(AF)/04/1 and ICSID Case No. ARB(AF)/04/5, Order of the Consolidation Tribunal, 20 May 2005, at para. 9.

¹⁴⁴ McLachlan et al., *International Investment Arbitration* (note 4), at para. 4.118 ('a rarity').

¹⁴⁵ Cf. the very similar provision in CAFTA-DR Art. 10.2; also the ASEAN Comprehensive Investment Agreement, signed on 26 February 2009, Art. 37.

¹⁴⁶ *Canfor Corp et al. v United States*, Order of the Consolidation Tribunal, 7 September 2005, at para. 133.

In discussions to revise the UNCITRAL Rules from 2008 onwards, there was some support to include a provision on consolidation in the revised rules, following the model of Article 4(6) of the ICC Rules. Delegations underscored the need for a consolidation provision by reference to several advantages:

... where several distinct advantages arose between the same parties under separate contracts (e.g. related contracts or a chain of contracts) containing separate arbitration clauses or to avoid a situation where a party initiated a separate arbitration in respect of a distinct claim under the same contract in order to gain a tactical advantage.¹⁴⁷

Thus far, the general requirement for party consent in order to consolidate arbitral proceedings is the Achilles heel of this potentially powerful tool to coordinate proceedings and pre-empt potentially inconsistent decisions.¹⁴⁸ Consolidation is the most efficient way of reducing the risk of decisional fragmentation for closely related cases. Yet, as explained in section 3 in this chapter, it may not be in the interest of parties or their law firms for proceedings to be consolidated. Consolidation, as a result, has lain dormant.

5. Conclusion

The lack of hierarchy among investment tribunals has the curious effect of allowing continuous horizontal appeals. The piecemeal approach to dispute resolution implies that issues such as whether derivative claims by shareholders are admissible or whether most-favoured-nation clauses apply to dispute resolution provisions are never definitely resolved. There is always another tribunal. As the *SGS v Philippines* Tribunal noted, because '[t]here is no hierarchy of international tribunals ... there is no good reason for allowing the first tribunal in time to resolve issues for all later tribunals'.¹⁴⁹ In other words, the next tribunal is as authoritative as any previous tribunal. Host states, more so than investors, remain attached to this non-hierarchical system.

The focus in investment arbitration on providing financial compensation to one investor at a time, coupled with the strong emphasis on party consent, can be an obstacle to the effective coordination of proceedings. In addition, investors and host states do not necessarily favour coordination, and the same applies to arbitrators and the lawyers acting for either side. In at least some cases, the interests of all stakeholders may be better aligned with a fragmented adjudicatory process. Central questions include whether to expressly exclude mass claims from the coverage of investment treaties, or whether to follow in the NAFTA's footsteps in incorporating a derivative claims/no reflective loss model for shareholders.

¹⁴⁷ UNCITRAL, 40th Session, UN Doc. A/CN.9/619, n. 5, at p. 23, para. 117.

¹⁴⁸ D'Agostino, J., 'Rescuing International Investment Arbitration: Introducing Derivative Actions, Class Actions, and Compulsory Joinder' (2012) 98 *Va L. Rev.* 177.

¹⁴⁹ *SGS v Philippines*, Decision of Tribunal on Objections to Jurisdiction, ICSID Case No. ARB/02/6, 29 January 2004, at para. 97.

This chapter has shown that claims arising out of the same government conduct can raise a variety of consistency-related concerns, including forum shopping, waste of resources, lack of finality, and decisional fragmentation. If one is serious about the need for effective coordination (though many host states may not be), the existing tools for coordinating parallel or subsequent proceedings in investment arbitration are inadequate. This underdevelopment reflects the novelty of jurisdictional overlaps in international law. For a long time, international lawyers were only marginally concerned with the issues of forum shopping, inconsistent awards, and potential double recovery because there was often no forum to decide the dispute in the first place.

Given these limited tools, analogies to coordination techniques in domestic law such as *res judicata* or *lis pendens* are common. Yet as long as investment tribunals apply these coordination techniques formalistically, without taking into account the economic realities of cross-border investment transactions and without adapting them to the requirements of IIL, *res judicata* and *lis pendens* have limited potential to contribute effectively to the coordination of investment adjudication.

With respect to shareholder claims, the seemingly inconsistent outcome in *Lauder v Czech Republic* and *CME v Czech Republic* is at first sight cause for serious concern. It is undoubtedly an example of genuine decisional fragmentation and lack of coordination. However, the outcome matches the derivative claims model known in domestic corporate law. Mr Lauder failed in his separate treaty arbitration and did not obtain any compensation—much like a derivative claim by a shareholder in domestic corporate law would have fared. Viewed from this perspective, there is little to criticize about the outcome of the cases.

More promise lies in taking domestic corporate law, the source of shareholder rights, seriously. Accordingly, derivative claims by shareholders on behalf of the company or direct claims that involve reflective loss are inadmissible. This result does not require any treaty change or innovation. It is already part of the applicable law that investment tribunals are bound to apply. However, given tribunals' track record thus far and the lack of an effective control mechanism, whether future investment tribunals will apply general principles of corporate law remains to be seen.

NAFTA's hard law solution in respect of waivers and consolidation points the way forward if one wanted to move away from the informal and discretionary coordination mechanisms that investment tribunals occasionally apply. Coordination techniques frequently used in domestic litigation are not currently part of the daily toolbox of investment arbitrators. Only by hard-wiring coordination mechanisms into investment treaties can coordination become a regular, built-in feature of IIL.